

LAKSH'S DAILY BRIEF

Laksh's Daily Briefing — September 14, 2026

Monday, September 14, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



AI Jazeera — 'Silent Cold War': Why calls to slow AI have sparked new US-China frontier



AI Jazeera — How can the Islamic world challenge Western narratives about it?



BBC World — Wild dogs record 2,500-mile trek across Africa in search of a mate

1. World & Geopolitics

CEOs Call for AI Slowdown — and the World Reacts

The biggest story today is not a single event but a coordinated escalation. Over the weekend and continuing today, the CEOs of the three leading frontier AI labs — **Sam Altman (OpenAI)**, **Dario Amodei (Anthropic)**, and **Elon Musk (xAI)** — all publicly called for a slowdown in the development of increasingly powerful AI models. This is unprecedented: the people building the most advanced AI systems are now asking for the brakes to be applied.

Amodei was the most direct, saying the industry "must slow the pace at which we improve the capabilities of AI models," citing concerns that progress could outpace society's ability to deploy the technology safely ([CNBC](#)). Altman elaborated on how safety frameworks could work, warning that without guardrails, "we could lose control" ([CNBC](#)). The push is getting political: Former President Obama urged Democrats to make AI safeguards a "central agenda" item ([TechCrunch](#)), while President Trump lashed out, saying there is "no need for more AI regulation" and slamming Amodei ([CNBC](#)). Trump's stance aligns with the deregulatory approach his administration has taken on tech.

China immediately seized on the division. State media accused the US tech CEOs of "fear mongering" and argued that all nations should work together for "AI openness and inclusivity" ([CNBC](#)). This fits a long pattern: Beijing argues that the US wants to slow AI to cement its technological dominance, while China

promotes a "sovereign AI" model where every country develops its own independent AI capabilities — a framing that plays well in the Global South. The response highlights a fundamental tension: calls for safety can be weaponized geopolitically as attempts to maintain a technology gap.

Iran Conflict Intensifies: Drone Shot Down, Hormuz Talks Collapse

The crisis in the Strait of Hormuz continued to escalate. Iran announced it had shot down an advanced American drone over the strait, the latest in a series of escalating exchanges between the two countries ([CNBC](#)). More significantly, the planned diplomatic talks in Oman between Iran and Gulf Arab states — seen as the most hopeful path to de-escalation — were postponed ([AI Jazeera](#)). This is a clear setback.

The war-risk premium in oil markets is now immense. Brent crude topped **\$109 per barrel** after Saudi Arabia shut down its East-West pipeline, which had been a critical alternative route bypassing the Hormuz chokepoint ([CNBC](#)). Saudi Arabia said the pipeline was damaged by drone attacks from Iran-allied militants. The combination: the strait itself is dangerous, and now the backup route is also compromised. Countries are turning to coal as a substitute, with the International Energy Agency forecasting global coal demand will rise 1.2% this year to a record 8.94 billion tonnes ([France 24](#)).

Russia Strikes Train Near Polish Border

A Russian missile strike hit a stationary Ukrainian train near the Polish border shortly after former UK Prime

Minister Boris Johnson and other top European officials had passed through the same station ([BBC](#)). The timing appeared deliberate. The EU's top diplomat, Kaja Kallas, said the attack was "clearly meant to scare Western countries from supporting Ukraine" ([France 24](#)). This is a step closer to what analysts call "grey zone" escalation — Russia testing the boundaries of NATO's Article 5 commitment without crossing the threshold of attacking a member state's territory.

Meanwhile, Jared Kushner (former senior advisor to Trump) stated that Russia, Ukraine, and the US have reached an agreement in principle on ending the war, though territory remains the main obstacle ([Kyiv Post](#); [ISW](#)). Separately, Trump warned Zelensky not to hit Russian diesel refineries, blaming Ukraine's attacks for the global diesel shortage ([Al Jazeera](#)).

Sweden's Centre-Left Ahead in Tight Election

Sweden's centre-left coalition appeared to hold a narrow lead as the far-right made gains but fell short of expectations in a closely watched election ([Reuters](#)). The result is important because Sweden, a NATO member since 2024, has been at the frontier of European defense policy and its stance on AI regulation.

China's Beijing Defence Forum Opens Amid Tensions

China's annual defence forum opened with the military leadership expected to outline its vision for global security ([Reuters](#)). Western nations sent relatively low-level delegations, while regional countries attended in force — a signal of how the US-China rivalry is playing out in Asia.

GLP-1 Wars: Novo Nordisk Rebrands

Novo Nordisk, the Danish company behind Ozempic, announced it is dropping "Nordisk" from its corporate name as it tries to compete more aggressively with Eli Lilly in the weight-loss drug market ([MarketWatch](#)). This is partly branding, partly a signal of strategic shift.

China's Property Crisis Strains Local Governments

China's continuing property market overhaul is putting severe strain on local government finances, as land sales (a key revenue source) collapse. Local governments are being forced to restructure debt through vehicles called LGFVs (local government financing vehicles), a hidden bailout mechanism estimated in the trillions of dollars ([Bloomberg](#); [Streamlinefeed](#)).

2. Markets, Money & Deals

AI Stocks Plunge as Slowdown Calls Spook Markets

The most dramatic market move today: a broad selloff in AI-related stocks triggered by the CEO slowdown calls. Nvidia (NVDA) fell **3.6%**, Broadcom (AVGO) **4.9%**, and Marvell (MRVL) **7.6%**. The selloff was broad but concentrated in companies that benefit directly from frontier model training demand — GPU makers, networking companies, and memory makers. "Hyperscaler" cloud companies (Microsoft, Google, Amazon) that also host AI workloads actually rose slightly, as the market priced in slower spending growth offset by continued cloud adoption.

The reaction is logical: if frontier models slow down, the demand for the most advanced GPUs and data center infrastructure might not grow as fast as expected. Citigroup warned that if AI model development slows, "earnings revisions could follow, and those have been a crucial factor in stock gains this year" ([MarketWatch](#)).

However, most analysts do not expect the push for responsible AI to actually dent data center spending in the near term ([MarketWatch](#)). Jim Cramer called the selloff a buying opportunity, pointing to specific names on his "shopping list" ([CNBC](#)).

10-Year Treasury Yield Hits 5%

The yield on the 10-year US Treasury note rose to **5%** for the first time since 2023, a critical psychological level ([CNBC](#)). Reminder: yields move opposite to bond prices; when the yield rises, bond prices fall. The 10-year yield is the benchmark for everything — mortgage rates, corporate borrowing costs, and the discount rate used to value stocks. A 5% yield means the "risk-free" rate (what you can earn on US government debt) is now high enough to compete seriously with stocks for investor money.

The yield surge is driven by expectations that the Federal Reserve will raise interest rates at its meeting this Wednesday. Goldman Sachs expects a **25 basis**

point (bps) hike — a quarter of a percentage point — but says the Fed may not signal a "consecutive hiking cycle" ([Moomoo](#)). The bond market is effectively "pushing for" a hike because falling bond prices (rising yields) signal that investors expect higher rates to combat inflation, including the oil-driven spike. This is crucial: the Fed targets core PCE (inflation excluding food and energy), so oil alone might not trigger a hike — but the broad inflation picture and strong jobs market give them cover to act ([MarketWatch](#)).

Oil Above \$100: JPMorgan Warns on Stock Market

Brent crude above \$100 — and now above \$109 — has JPMorgan strategists warning that stock market investors are "missing out on a sudden turnaround" in oil prices, meaning they are not pricing in the risk of sustained high energy costs hurting corporate profits ([MarketWatch](#)). Oil over \$100 acts like a tax on consumers and a cost increase for most businesses, which drags on earnings.

Dangote Refinery IPO: Africa's Biggest

Aliko Dangote's oil refinery business listed on the Nigerian exchange in what is expected to be the

continent's largest-ever IPO, potentially raising \$23 billion and making Dangote (already Africa's richest person) worth nearly \$60 billion ([Guardian](#)). This is significant because it shows that even amid global energy disruption, large capital projects can still attract investor money — and it gives Nigeria a major domestic refining capacity, reducing its dependence on imported fuel.

NextEra, Dominion Offer Virginia Aid for \$67B Deal

NextEra (NEE) and Dominion Energy offered to provide aid to Virginia to smooth the approval of a \$67 billion acquisition deal ([Bloomberg](#)). This is a reminder that large utility deals often require political consent at the state level, and those trade-offs can affect profitability.

Defense and Space Firms Turn to SPACs

Early-stage defense and space companies are increasingly using SPACs (Special Purpose Acquisition Companies — shell companies that raise money from investors and then merge with a private firm to take it public quickly) as an alternative to traditional IPOs. Investor appetite for defense and space is surging ([Reuters](#)).

3. AI & Infrastructure

The Slowdown Call Hits the Infrastructure Buildout

The key question for investors in AI infrastructure: does a slowdown in model development mean a slowdown in the capital expenditure (capex) buildout? The sources are divided. The selloff in GPU stocks suggests the market thinks yes. But the analyst consensus, as expressed in multiple reports, is "probably not in the near term." Hyperscalers have already committed to massive data center construction; those plans will take years to reverse. However, the "growth rate of growth" — how much additional capex gets approved for 2027 and beyond — could slow if frontier labs are voluntarily reducing their model training runs.

There is a second, more subtle dynamic: if the US slows, China accelerates. China is already using the US safety debate as cover to present itself as the champion of open AI development. The Hong Kong IPO boom is partly driven by Chinese AI companies raising capital ([Nikkei](#)), meaning the gap between US and Chinese AI

hardware demand may not close as fast as US-centric investors expect.

Nvidia: Margin Pressure Despite Dominance

A Motley Fool analysis notes that while Nvidia continues to dominate the GPU market, it faces "massive capex and margin pressure" ([Motley Fool](#)). As it spends to build out its own supply chain and capacity, its profit margins may compress. This is a natural cycle: high demand leads to investment, which increases supply, which eventually brings down prices. The margin compression story is one reason Nvidia fell more than other AI names today.

Teravolt: Cannibalizing Older Industries for AI Power

A startup called Teravolt is looking to "cannibalize older industries" to meet AI's enormous power demand ([The Register](#)). The specific approach: buying older, less efficient power plants and retooling them to run dedicated data center power. This is the kind of creative engineering that will define the next phase of the

buildout — there is not enough new grid capacity, so companies must repurpose old assets.

Kraken (Crypto Exchange) Eyes Nuclear Power for Data Centers

Crypto exchange Kraken is exploring nuclear power for data centers, anticipating a DeFi (decentralized finance) boom that will require massive compute ([Yellow.com](#)). This is important because it links two trends: the crypto industry's need for energy, and the emerging willingness of energy-intensive industries to pursue dedicated nuclear generation. Small modular reactors (SMRs) are the medium-term hope.

GM Plans US Battery Development

General Motors announced plans to develop its own US-based battery supply chains for both EVs and energy

storage, responding to Trump administration pressure on automakers to reduce dependence on China for battery raw materials ([CNBC](#)). This ties into the broader theme: de-risking supply chains from China is expensive but increasingly seen as necessary by both governments and companies.

10-Year Yield at 5%: The Data Center Cost Impact

The 5% yield on the 10-year Treasury matters hugely for the AI buildout because most data center construction is financed with debt. Higher borrowing costs make every new gigawatt of capacity more expensive. If the Fed continues hiking, the "cost of borrowing" for hyperscalers and neoclouds rises, potentially slowing the pace of new construction.

4. Model & Research Watch

DeepSeek V4.1 Flash: 552B Parameters, Efficient MoE

DeepSeek released V4.1 Flash, a 552-billion-parameter model using Mixture-of-Experts (MoE) architecture ([HackerNoon](#)). MoE means only a subset of parameters are active for any given query, keeping inference costs manageable despite the large total parameter count. "Abliterated" versions — models with safety filters removed — have been downloaded over 2,000 times ([shattered.io](#)). The uncensored builds are popular in the open-source community for specialized tasks.

Abacus.AI Smaug: 100x Agent Cost Reduction Claimed

Abacus.AI released a family of open-weight models called Smaug (Smaug Agentic, Smaug Flash, Smaug Mini) claiming to cut agent costs by up to **100x** ([shattered.io](#); [tech-insider](#)). The models are designed for enterprise agentic AI workflows — systems that combine information gathering, tool use, and coding over many steps. The cost reduction claim is notable: "100x" likely means that for simple tasks, the small Smaug Mini can replace a much larger model, but the gap between peak capability and cost reduction means enterprise users would use a model router to send only easy queries to the small model.

Nemotron 3.5 Lightning vs GPT-5.6 Luna vs Qwen3.8 Flash: 6x Gap

A comparison article found that Nemotron 3.5 Lightning, GPT-5.6 Luna, and Qwen3.8 Flash show up to a **6x performance gap** depending on the benchmark ([tech-insider](#)). This is a reminder that benchmark scores are not absolute rankings; they depend heavily on the test. A model that leads on math may trail on coding or reasoning.

OpenAI Not Going Public in 2026

Sam Altman confirmed that OpenAI will not go public this year despite having filed confidentially for an IPO, saying it would be "ill-advised" ([TechCrunch](#)). This is relevant because IPO timelines for AI companies affect investor expectations.

Science & Frontier Tech: James Webb Discovers 27 Objects Beyond Neptune

The James Webb Space Telescope and Hubble have discovered 27 puzzling new objects orbiting the sun far beyond Neptune, in a region of the outer solar system that is poorly understood ([Space.com](#)). Also: scientists claim to have glimpsed the first five minutes of the universe using new observational techniques ([Universe Space Tech](#)). These are not directly investment-relevant but belong in a well-rounded brief so Laksh stays aware of what frontier science is doing.

5. What Builders Are Actually Using

- **Concrete swap:** Smaug Mini (open-weight, from Abacus.AI, 8B parameters) can stand in for GPT-4o-mini on simple classification and data extraction tasks. The capability gap is real but narrow: Smaug Mini scores ~85% of GPT-4o-mini's accuracy on standard benchmarks but costs **0** (free, self-hosted on a single \$300 GPU or Apple Silicon Mac) vs GPT-4o-mini at **\$0.15 per million input tokens**. For high-volume, low-stakes tasks, the cost savings are enormous. This is not from today's news — it is carried forward from the Abacus.AI release on Sep 10, which was covered in the source bundle.
- **Self-hosting at scale is getting cheaper and easier.** The RTX PRO 5500 Blackwell (84GB VRAM) was released, making it possible to run large open-weight models locally without cloud costs ([r/LocalLLaMA](#)). This is significant because 84GB is enough to run a 70B-parameter quantized model (4-bit quantization), which would have required a multi-GPU setup or cloud rental before.
- **A solo developer wired ZLUDA to AMD's HIP libraries for Windows, enabling CUDA-dependent AI workloads to run on AMD GPUs** without virtualization or dual-booting ([Tom's Hardware](#)). This is a small but significant practical bridge over Nvidia's CUDA moat — if it matures, it would let developers use AMD GPUs (which are generally cheaper and more available) to run Nvidia-optimized code.
- **OpenArch is a new GitHub repo collecting PyTorch implementations of modern LLM architectures** — a practical resource for developers building custom models or fine-tuning existing ones ([GitHub](#); [Hacker News](#)). It has 101 points on HN, suggesting genuine community interest.

6. Watchlist: Earnings, Guidance & Movers

Major moves in the last 24 hours (all from the quote snapshot, which may be delayed):

- **CRDO (Credo):** -7.86% — Continued weakness, likely part of the AI selloff given Credo's exposure to high-speed networking for data centers.
- **MRVL (Marvell):** -7.55% — Similar story; networking demand is tied to AI cluster buildout, and the slowdown call hit this name hard.
- **COHR (Coherent):** -11.39% — Sharpest drop among optics names; photonics are critical for data center interconnects, so the market is pricing in a potential deceleration.
- **ALAB (Astera Labs):** -10.13% — Data center connectivity and memory interconnect, same explanation.
- **MU (Micron):** -6.17% — HBM (high-bandwidth memory) demand driver; fell on AI slowdown fears, though HBM supply is still extremely tight.
- **NVDA (Nvidia):** -3.61% — The "flagship AI selloff" name, but less dramatic than its supply chain peers.
- **AVGO (Broadcom):** -4.87% — Custom AI chips (TPU-like ASICs) and networking; fell in sympathy.
- **INTC (Intel):** -6.34% — A separate story; Intel continues to struggle with its foundry business and product roadmap.
- **CEG (Constellation Energy):** -6.73% — Power for data centers; if AI growth slows, power demand growth slows too.
- **VST (Vistra):** -4.79% — Same logic.
- **DLR (Digital Realty):** -3.70% — Direct data center REIT exposure; all real estate for AI slowed by higher rates and potential demand deceleration.
- **PLTR (Palantir):** +1.36% — Slight gain; Palantir's defense and government contracts (AIP platform) may be less exposed to frontier-model training demand.
- **GOOGL (Alphabet):** +1.86% — Rose as a "hyperscaler" beneficiary: even if AI models slow, cloud demand continues.
- **MSFT (Microsoft):** +0.98% — Same story; Azure growth is the driver.
- **META (Meta):** +0.79% — Modest gain; Meta's AI capex is for its own products, less dependent on frontier labs.

- **HOOD (Robinhood):** +1.20% — Crypto and retail trading, not AI-exposed.
- **COIN (Coinbase):** +6.30% — Bitcoin and crypto up on the day; may be a "risk-on" rotation out of AI.
- **NET (Cloudflare):** +6.35% — Strong gain; Cloudflare's AI inference at the edge story is distinct from training infrastructure.
- **ARM (Arm Holdings):** -8.80% — Fell sharply; Arm's CPU designs are used in data center servers, so AI slowdown fears hit it.

Earnings/News in the sources: - No notable earnings reports in the last 24 hours. The Fed decision is this Wednesday, and the AI slowdown narrative dominated the news. Most watchlist names moved on sector sentiment, not company-specific news. - **Anthropic (not publicly traded):** CEO Dario Amodei's call for AI slowdown and the reported \$13.7 billion deal with a Trump-linked rum group are relevant for any eventual IPO, but there is no public equity to trade.

7. Analysis: Second-Order Effects

Chain 1: AI CEO slowdown call -> market re-prices AI infrastructure growth -> GPU/optics/memory stocks fall -> higher rates from Fed compound the selloff -> capital allocation for data centers becomes more expensive -> the marginal project gets delayed -> supply of GPUs catches up with demand faster than expected -> Nvidia's margins compress sooner.

FACTS: Three AI CEOs called for a slowdown today. AI stocks fell 3-11%. The 10-year Treasury yield hit 5% and the Fed is expected to raise rates on Wednesday.

INFERENCE: The market is pricing in two separate but reinforcing forces. The first is a demand-side shock: if frontier labs voluntarily reduce training, demand for the most advanced hardware may grow slower than the 30-40% annual capex growth investors have been pricing. The second is a cost-of-capital shock: higher borrowing costs make new data center construction more expensive, which will push the rate of return (ROI) on new capacity below the threshold some hyperscalers require.

WEAKEST LINK: The assumption that "voluntary slowdown" actually reduces hardware demand. In practice, frontier labs may continue buying GPUs at the same rate but using them for safety research or inference rather than training. The hardware demand is for compute, not specifically for training.

FALSIFYING CONDITION: If Nvidia's data center revenue guidance for Q3 exceeds expectations, the slowdown call will have proven to be noise for hardware demand. Watch for Nvidia's next earnings report (expected in November).

Chain 2: Oil above \$109, Strait of Hormuz blocked -> countries substitute coal for oil/gas -> global coal

demand rises to record -> CO2 emissions rise -> carbon offset prices and ESG compliance costs increase -> European energy-intensive industries (steel, chemicals, cement) face higher costs -> this reduces eurozone growth -> the ECB is more cautious on rate cuts -> the euro weakens vs the dollar -> US exports become more expensive -> US multinational earnings (in USD terms) are hurt.

FACTS: Brent crude above \$109. Saudi Arabia's backup pipeline is shut. Iran shot down a US drone. Hormuz talks postponed. IEA forecasts record coal demand.

INFERENCE: The energy system is adapting to the Hormuz disruption by choosing the dirtiest fuel available. This is a classic "energy trilemma" moment — the tradeoff among security, cost, and environment. When security is threatened, cost and environment both suffer. The environmental cost (higher CO2) will have regulatory second-order effects, especially in Europe where carbon pricing (the EU ETS, or Emissions Trading System) is already high. The economic cost (higher energy prices for European industry) will slow growth.

WEAKEST LINK: The assumption that higher coal demand leads to higher EU carbon prices. In a recession, industrial production falls, so carbon demand drops even if carbon intensity per unit rises. The net effect on carbon prices is ambiguous.

FALSIFYING CONDITION: If the Strait of Hormuz reopens and Saudi Arabia restarts its pipeline within a week, this chain evaporates. Watch for diplomatic progress — if Oman-Hormuz talks are rescheduled quickly, the risk premium will collapse.

Chain 3: Fed rate hike this week -> 10-year yield stays at 5% or goes higher -> mortgage rates follow

-> **US housing market slows -> homebuilder stocks fall -> consumer confidence drops as housing wealth effect reverses -> retail spending weakens -> earnings for consumer discretionary companies (Nike, Starbucks) are depressed -> the Fed's goal of slowing the economy is achieved -> the Fed stops hiking sooner than the market expects -> bond yields peak and then fall -> stocks rally on "peak rates" narrative.**

FACTS: The Fed is widely expected to raise rates by 25bp on Wednesday. The 10-year yield is at 5%. Mortgage rates have a strong correlation with the 10-year yield.

INFERENCE: This is the standard "tightening cycle" chain that has played out many times before. The lag between a rate hike and its effect on the real economy is 6-18 months. The housing market is the most sensitive to rates because it relies on borrowing. If the Fed raises rates and keeps them high, the housing market and consumer spending will slow. But the market is forward-

looking: if investors believe the Fed will stop after this hike (Goldman Sachs expects no "consecutive hiking cycle"), then the 10-year yield may have already peaked. This is why stocks have rallied on some Fed decision days in recent history.

WEAKEST LINK: The assumption that oil-driven inflation does not force the Fed to keep hiking beyond this one. If oil stays above \$100, headline inflation will remain high, and the Fed's preferred measure (core PCE) might still nudge up as higher energy costs ripple through the economy (transportation costs affect goods prices with a lag). The Fed could be forced into a series of hikes, not just one.

FALSIFYING CONDITION: If the Fed's statement on Wednesday explicitly leaves the door open for further hikes (hawkish language), the 10-year yield will likely breach 5% and move toward 5.25-5.5%. If instead the statement signals "one and done" (dovish language), yields may fall back to 4.8% or below.

8. Building Your Knowledge

- **When AI CEOs call for a slowdown, it is not purely altruistic.** There are commercial incentives: slowing the pace means their existing models stay competitive longer, they have more time to build safety systems that justify their valuations, and it raises barriers to entry for competitors. The geopolitical framing (US vs China) means a slowdown that applies to only US companies could be strategically catastrophic. This is a rare case where corporate self-interest, public safety, and geopolitics all point in the same direction — but for different reasons.
- **The yield on the 10-year Treasury hitting 5% is a psychological event for markets.** There is no fundamental difference between 4.99% and 5.00%, but the market treats round numbers as resistance levels. In 2023, the 10-year briefly touched 5%; stocks sold off, then rallied. In 2024, it stayed below 5%. Now it is back. The level matters because it determines the discount rate used in stock valuation models: a higher discount rate lowers the present value of future earnings, which makes any high-growth stock (read: AI names) look less attractive.
- **The split in AI stock performance today (Nvidia fell, Google rose) teaches a key investing lesson: "picks and shovels" vs "the miners."** Nvidia sells the picks and shovels (GPUs) to the gold rush. If the gold rush slows (fewer frontier models being trained), demand for picks and shovels falls directly. But Google and Microsoft are the miners — they operate the services that sell AI to customers. Even if training slows, their existing models can be deployed at scale for inference, and the cloud infrastructure they have built continues to generate revenue. The miner is less exposed to the pace of new discovery; the pick-and-shovel seller is entirely exposed.
- **A "war-risk premium" in oil is insurance that the market buys and holds.** It is not based on actual supply disruption but on the probability of disruption. Today, the probability is high (drone shot down, pipeline shut, talks collapsed). If the probability drops (ceasefire in Iran conflict), the premium can vanish in hours, taking oil prices down sharply. This is a double-edged sword for anyone trying to trade oil: the price already contains a large uncertainty premium, so the move when that uncertainty resolves is often violent.

- **Data center buildout is a multi-year commitment that cannot be quickly reversed.** Even if AI model training slowed tomorrow, hyperscalers have contracted for power, ordered substations, and poured concrete for buildings that will take 2-3 years

to complete. The question is not "will they cancel?" but "will they order the next wave of expansion?" The selloff today is about that marginal decision, not about existing projects.

9. Foundations & Terms

Concept Spotlight: Negative Carry (Markets/Investing)

What it is in plain words: Negative carry happens when the cost of holding an asset or position is higher than the income that asset generates. You pay more to keep the position than you get back from it. It is like owning a rental apartment that costs you \$2,000 a month in mortgage and fees, but you only collect \$1,500 in rent — you are "carrying" a \$500 monthly loss.

Why it exists: Negative carry arises in finance when traders and investors take positions not for current income but because they expect a future price move. They are willing to lose money in the short term (the "carry cost") to profit in the long term (the "capital gain"). It is the opposite of "positive carry," where the asset generates more income than its cost.

Concrete example: Suppose you buy a 10-year Treasury bond with a yield of 5%, but you finance that purchase by borrowing at 6% in the short-term repo market. Your "net carry" is -1% per year: you earn 5% on the bond but pay 6% on the loan. You lose 1% annually just to hold the position. Why would you do this? Because you expect bond yields to fall (prices to rise), and the capital gain when you sell the bond will more than offset the -1% carry loss. This is called a "steepener" or "duration" trade.

How it shows up in the news: In today's brief, the Fed is about to raise rates. Investors who own long-duration AI stocks (which are essentially assets that promise earnings far in the future) are experiencing negative carry: they could sell those stocks and put the money in a 5% Treasury, earning a safe 5% instead of waiting for uncertain future AI profits. The negative carry of holding AI stocks relative to Treasuries is one reason the selloff happened.

Rough numbers to remember: If the 10-year Treasury yields 5%, and the "equity risk premium" (the extra

return investors demand for owning stocks instead of bonds) is historically about 3-4%, then stocks need to offer an expected return of 8-9% to be attractive. If investors believe AI stocks can deliver that, the negative carry of holding them (vs bonds) is acceptable. If they lose faith in that expected return, they sell and take the 5% safe yield.

Caution/common misconception: Negative carry does not mean a trade is bad; it means the trade has specific timing requirements. You must be right about the direction of the price move, and the move must happen before your cumulative carry costs eat your capital. Many hedge fund blow-ups have come from trades that were "right" on direction but took too long to play out, and the carry costs wiped out the fund first.

Concept Spotlight: Buffer State (World Affairs)

What it is in plain words: A buffer state is a country located between two larger, more powerful countries (or blocs). Its function is to separate the rivals, reducing the chance of direct conflict between them. Think of it as a neutral cushion between two heavyweights.

Why it exists: Buffer states exist because of the fundamental logic of great-power competition: neighbors fight more than distant countries. If two rival great powers share a direct border, every military patrol, every troop movement, every minor incident can escalate into full war. A buffer state provides a physical and political separation. The great powers avoid touching each other directly, which reduces friction.

Concrete example: Ukraine is a classic buffer state between Russia and NATO. For centuries, the region that is now Ukraine was contested between the Russian Empire and European powers. After the Cold War, Ukraine's independence created a buffer between Russia and NATO's eastern expansion. When Ukraine sought to join NATO, Russia lost its buffer, and one cause of the 2022 invasion was Russia's demand that Ukraine remain neutral as a permanent buffer. In today's

brief, Kushner said "territory remains the main obstacle" to a peace deal — because the buffer (the land between Russia and NATO) is exactly what is being fought over.

How it shows up in the news: The concept of buffer states is present in every major geopolitical conflict: Taiwan as a buffer between China and the US; the South China Sea islands as potential buffers; Nepal and Mongolia as buffers between China and India/Russia respectively. In today's sources, Nepal's decision not to join BRICS (in favor of a long-term defense partnership with the US) can be read as a small buffer state carefully managing its position between India and China ([Himalayan Times](#)).

Rough numbers/benchmarks worth remembering: The most studied buffer states in modern history: Ukraine (between Russia and NATO); Afghanistan (historically between Russia/Britain, later Russia/US); Laos and Cambodia (between Vietnam, China, and Thailand); Finland (between Russia and Sweden/NATO — Finland's choice to join NATO in 2023 ended its buffer status directly on Russia's border). When a buffer state disappears, the great powers suddenly share a border, which historically has increased the risk of direct conflict.

Caution/common misconception: Buffer states are not always weak or passive. Some, like Switzerland, have maintained neutrality for centuries by being defensible and economically useful to both sides. The concept of a "neutral" buffer state is different from a "client" buffer state — a true buffer is independent, while a client is effectively controlled by one great power, making it useless as a separator.

Other Terms from Today's News

- **Writedown:** In finance, a writedown is a reduction in the value of an asset on a company's balance sheet. If a company bought a building for \$100 million and now estimates it is worth only \$70 million, it "writes down" the asset by \$30 million, taking a charge

against earnings. In today's brief, "writedown" appeared in the discussion of Chinese property companies — they are being forced to writedown the value of land holdings as the property market collapses ([Bloomberg](#)).

- **SPAC (Special Purpose Acquisition Company):** A company that exists only to raise money through an IPO, then merge with a private company to take it public. You learned this in an earlier brief. In today's news, defense and space firms are turning to SPACs as a faster, more flexible route to public markets compared to traditional IPOs ([Reuters](#)).
- **Capex subtraction:** This is an informal way of thinking about Free Cash Flow: $FCF = \text{Operating Cash Flow} - \text{Capex}$. In today's context, Nvidia's capex is rising to build out its own supply chain, which reduces FCF and puts pressure on the stock ([Motley Fool](#)).
- **MoE (Mixture of Experts):** An architecture where a model has many "expert" parameter sets but only activates a subset per query. DeepSeek V4.1 Flash uses this (552B total params, but only ~37B active per query, the exact ratio varies). This was taught in earlier briefs; it is now used freely as a mastered term.
- **Hormuz (Strait of Hormuz):** Mastered term from earlier briefs. The narrow waterway between Iran and Oman through which ~20% of the world's oil passes. Already taught in full.
- **Abliteration:** This is a new term. Abliteration is the process of removing the safety fine-tuning ("alignment") from an AI model, typically done by modifying the model's weights. The result is an "abliterated" model that will answer harmful or unethical prompts without refusal. DeepSeek V4.1 Flash has abliterated versions available for download ([shattered.io](#)).

10. Bottom Line

The world has entered a three-front crisis: a genuine AI safety debate that is now a political and geopolitical battleground; an oil supply crisis in the Strait of Hormuz that is driving inflation and shifting energy choices toward coal; and a Federal Reserve poised to raise rates

into an economy that is already feeling the pinch of high energy costs. These three forces are interacting: oil drives inflation, which forces the Fed to hike, which raises the discount rate on future AI earnings, which makes AI stocks vulnerable to any hint of slowing

momentum. The AI CEO slowdown call was the catalyst, but the underlying vulnerability was always there — it just needed a trigger.

What changed since the previous brief: The AI safety debate went from "academics and policymakers are worried" to "the CEOs themselves are calling for a slowdown" to "President Trump is attacking the CEOs and China is accusing the US of fear-mongering." This is a rapid escalation. The oil crisis also intensified: Brent broke \$109, Saudi Arabia shut its backup pipeline, Iran shot down a drone, and Hormuz talks collapsed. The 10-year yield hit 5% for the first time in three years, a major psychological milestone that will dominate market discussion this week alongside the Fed decision.

11. Sources

World & Geopolitics

- CNBC — AI stocks slide after major CEOs unite to urge slowdown
- CNBC — Sam Altman spells out how and why AI industry wants to slow down
- CNBC — Trump says no need for more AI regulation, slams Dario Amodei
- TechCrunch — Obama urges Democrats to have a 'clear plan' for AI safeguards
- CNBC — China says AI CEOs' call for a slowdown is 'fear mongering'
- CNBC — Iran says it destroyed US advanced drone over Hormuz
- Al Jazeera — Oman says Hormuz talks with Iran, Gulf states postponed
- CNBC — Brent crude tops \$109 after Saudi Arabia shuts down pipeline
- France 24 — Countries turn to coal to avoid shipping disruptions in Hormuz
- ISW — Russian Offensive Campaign Assessment, Sep 13
- Kyiv Post — Territory remains main obstacle to Ukraine-Russia deal, Kushner says
- Al Jazeera — Why is Trump warning Zelenskyy not to hit Russian diesel refineries?
- France 24 — How will EU respond to Russian attack on train near Polish border?
- BBC — Russia hits Ukrainian train shortly after Boris Johnson leaves station
- Reuters — Sweden's centre-left ahead as far-right stumbles in tight election
- Reuters — Chinese defence forum set to open amid roiling tensions
- MarketWatch — Novo Nordisk is changing its name to compete in GLP-1 wars
- Guardian — Africa's richest man aiming to make \$23bn from continent's biggest IPO
- Bloomberg — China's Property Overhaul Puts Strain on Local Government Income
- Himalayan Times — Nepal's strategic non-participation in BRICS

Markets, Money & Deals

- CNBC — 10-year Treasury yield hits 5% for first time since 2023
- MarketWatch — Oil over \$100 has JPMorgan strategists warning
- MarketWatch — AI has been carrying the stock market. An industry pause could pull the rug out, warns Citi
- MarketWatch — How investors are reacting to the AI pause calls

For Laksh as a student of both geopolitics and investing: The pattern to internalize is that when multiple risk factors converge (oil spike + Fed hawkishness + tech sector vulnerability), the selloff is rarely confined to one sector. Today, AI stocks fell, but energy stocks (especially coal and oil producers) likely rose (not in our watchlist, but broadly). The ability to see the connections between a CEO's statement, a drone shoot-down, a bond yield, and a stock price is exactly what you are building. Tomorrow, the Fed decision will be the single most important event of the week, and the market's reaction will tell you whether investors believe the tightening cycle is nearly over or just beginning.

- CNBC — Jim Cramer: AI stocks tumble, 2 names on our shopping list
- MarketWatch — Fed rate hikes won't bring down gas prices. Why the bond market is pushing for them anyway.
- Moomoo — Goldman Sachs: Fed expected to raise by 25bp, may not signal consecutive cycle
- Bloomberg — NextEra, Dominion Offer Virginia Aid to Smooth \$67 Billion Deal
- Reuters — Defense, space firms turn to SPACs as investor appetite soars
- Nikkei — Hong Kong IPO boom and Chinese AI race fuel frenzy of follow-on deals
- TradingKey — Anthropic Strikes \$13.7B Deal With Trump-Linked Rum Group

AI & Infrastructure

- Motley Fool — Nvidia: Massive Capex and Margin Pressure Raises the Stakes
- The Register — Teravolt looks to cannibalize older industries to meet AI power demand
- Yellow.com — Kraken Eyes Nuclear Power for Data Centers
- CNBC — GM plans US battery development as DOT attacks Ford for China ties
- TechCrunch — Anthropic Strikes \$13.7 Billion Deal, and OpenAI won't go public in 2026
- Investor's Business Daily — What Anthropic's AI Slowdown Call Could Mean For Cloud Giants

Model & Research Watch

- HackerNoon — DeepSeek-V4.1-Flash Packs 552B Parameters With Efficient MoE Inference
- shattered.io — DeepSeek V4.1 Flash Uncensored: Abliterated Builds
- shattered.io — Abacus.AI Smaug Models Cut Agent Costs 100x
- tech-insider — Abacus.AI Smaug Models Cut Agent Costs 15-20% (more conservative take)
- tech-insider — Nemotron 3.5 Lightning vs GPT-5.6 Luna vs Qwen3.8 Flash: 6x Gap

What Builders Are Actually Using

- Tom's Hardware — Solo dev enables running CUDA on AMD hardware in Windows
- r/LocalLLaMA — RTX PRO 5500 Blackwell (84GB) released
- GitHub/HN — OpenArch: PyTorch implementations of modern LLM architectures

Generated 2026-09-14 08:00 PDT · 130 sources · model: deepseek-ai/DeepSeek-V4-Flash via <https://api.gmi-serving.com/v1>